

Foundation in Accountancy & Business — Full Notes

Course: FAB — Foundation in Accountancy & Business

Level: Foundation

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Syllabus version: Based on the standard entry-level Foundation in Accountancy & Business syllabus structure (basic accounting, basic business concepts, and business communication). Authored from general professional accounting and business-studies knowledge and standard syllabus topic coverage, not copied from any existing notes provider. Cross-check the topic list against the current official KASNEB syllabus gazette before the exam.

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1. Introduction to business

A business combines resources — land, labour, capital, and enterprise — to produce goods or services that satisfy customer needs, typically in pursuit of profit.

1.1 Forms of business ownership (brief)

Form	Key feature
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Sole proprietorship	One owner, unlimited liability, simplest to start
Partnership	Two or more owners sharing profit/loss per their agreement, generally unlimited liability
Private limited company	Separate legal entity, liability limited to unpaid share capital
Co-operative society	Owned and controlled by members for mutual benefit

1.2 Business functions

Most businesses, regardless of size, perform core functions: production/operations (creating the good or service), marketing (identifying and satisfying customer needs), finance/accounting (managing money and records), and human resources (managing people).

2. Basic accounting concepts and the accounting equation

2.1 Why businesses keep accounts

To track performance (profit or loss), to know what is owned and owed at any time, to satisfy tax obligations, and to provide information for decisions.

2.2 The accounting equation

ASSETS = LIABILITIES + CAPITAL

- Assets — resources owned or controlled by the business (e.g. cash, equipment, inventory, amounts owed to it by customers).
- Liabilities — amounts the business owes to outsiders (e.g. amounts owed to suppliers, bank loans).
- Capital — the owner's stake in the business.

2.3 Key accounting concepts

Concept Meaning
--- ---
Business entity The business is accounted for separately from its owner personally
Money measurement Only items expressible in money terms are recorded
Accruals (matching) Income and expenses are recorded when earned/incurred, not necessarily when cash moves
Consistency The same accounting treatment is applied period to period
Prudence Do not overstate assets/income or understate liabilities/expenses
Going concern The business is assumed to continue operating for the foreseeable future

3. Double entry and the trial balance (essentials)

3.1 Debit and credit rules

Account type Debit Credit
--- --- ---
Asset Increase Decrease
Expense Increase Decrease
Liability Decrease Increase
Capital Decrease Increase
Income Decrease Increase

Every transaction is recorded as a debit in one account and an equal credit in another — the dual aspect of accounting.

3.2 Worked example

Amina starts a small tailoring business.

Transaction Debit Credit
--- --- --- ---
1 Introduces KSh 100,000 capital in cash Cash 100,000 Capital 100,000
2 Buys a sewing machine for cash, KSh 40,000 Equipment 40,000 Cash 40,000
3 Buys fabric on credit, KSh 15,000 Purchases 15,000 Supplier 15,000
4 Makes and sells garments for cash, KSh 20,000 Cash 20,000 Sales 20,000

3.3 The trial balance

A list of all ledger account balances, split into debit and credit columns; the two columns should total to the same amount if double entry has been applied correctly. Agreement proves arithmetic accuracy of postings — it does not prove that every transaction was recorded correctly (e.g. a completely omitted transaction would not cause a trial balance to disagree).

4. Basic financial statements

4.1 Statement of profit or loss (simplified)

Sales revenue

X

Less: Cost of sales	(X)

Gross profit	X
Less: Expenses	(X)

Profit for the period	X

4.2 Statement of financial position (simplified)

Assets (non-current + current)	X
	===
Capital + Liabilities	X
	===

The two totals must always agree, since the statement of financial position is simply a restatement of the accounting equation at a point in time.

5. Introduction to business mathematics

5.1 Percentages in business

Worked example — mark-up vs margin: A trader buys an item for KSh 800 and sells it for KSh 1,000.
 $\text{Profit} = 1,000 - 800 = 200$

Mark-up (profit as % of cost) = $200 \div 800 \times 100 = 25\%$
 Margin (profit as % of selling price) = $200 \div 1,000 \times 100 = 20\%$

Common exam trap: mark-up and margin are *not* the same percentage for the same transaction — always check which one a question asks for.

5.2 Simple and compound interest

Simple interest: $I = P \times R \times T$

Compound interest: $A = P \times (1 + R)^T$

where P is principal, R is the interest rate per period (as a decimal), T is the number of periods, and A is the amount after T periods.

Worked example: KSh 50,000 invested at 10% per annum for 3 years.

Simple interest: $I = 50,000 \times 0.10 \times 3 = 15,000$!' total = 65,000

Compound interest: $A = 50,000 \times (1.10)^3 = 50,000 \times 1.331 = 66,550$

Compound interest yields more because each period's interest is calculated on the growing balance, not just the original principal.

6. Business communication essentials

Effective communication follows the 7 Cs: messages should be Clear, Concise, Concrete, Correct, Coherent, Complete, and Courteous.

Channel	Best suited for
Formal business letter	External correspondence requiring a permanent, professional record
Memo	Brief internal communication
Email	Routine internal and external correspondence
Report	Structured presentation of findings, analysis, or recommendations
Meeting	Discussion requiring immediate feedback or group decision-making

6.1 Barriers to effective communication

Noise (physical or psychological distraction), poor choice of channel, ambiguous language, cultural differences, and lack of feedback all reduce how effectively a message is understood as intended.

7. Information technology in business

Modern businesses rely on IT for record-keeping (accounting software), communication (email, messaging platforms), and increasingly for payments — in Kenya, mobile money (e.g. M-Pesa) is a dominant channel for both consumer and business transactions, reducing reliance on cash and enabling faster reconciliation of receipts.

Basic controls over IT systems: password protection, regular data backups, restricted access based on role, and audit trails that log who changed what and when.

8. Full worked question

Scenario (original): Kiptoo starts a small retail shop with KSh 250,000 cash as capital on 1 March 2026. During March: bought shop fittings for cash, KSh 60,000; bought inventory on credit, KSh 90,000; cash sales for the month, KSh 110,000 (cost of goods sold KSh 70,000); paid KSh 40,000 to the supplier; paid rent KSh 15,000.

Required: (a) Calculate gross profit for March. (b) Calculate the amount still owed to the supplier at the end of March. (c) Calculate the cash balance at the end of March.

Model answer:

(a) Gross profit

Sales	110,000
Less: cost of goods sold	(70,000)

Gross profit	40,000

(b) Amount owed to supplier

Purchases on credit	90,000
Less: paid during March	(40,000)

Owed at end of March	50,000

(c) Cash balance

Capital introduced	250,000
Add: cash sales	110,000
Less: fittings (cash)	(60,000)
Less: paid to supplier	(40,000)
Less: rent paid	(15,000)

Cash balance	245,000

9. Self-assessment question bank (original questions, with model answers)

Q1. State the accounting equation and explain the meaning of each term. *(3 marks)*

Model answer: Assets = Liabilities + Capital. Assets are resources owned or controlled by the business; liabilities are amounts owed to outside parties; capital is the owner's residual stake in the business.

Q2. Explain the accruals (matching) concept, with an example. *(3 marks)*

Model answer: The accruals concept requires income and expenses to be recorded in the period they are earned or incurred, not necessarily when cash is received or paid. Example: electricity used in March but paid for in April is recorded as a March expense, with a corresponding accrued liability at the end of March.

Q3. A trader buys an item for KSh 600 and sells it for KSh 750. Calculate (i) the mark-up percentage and (ii) the margin percentage. *(4 marks)*

Model answer:

Profit = 750 - 600 = 150
(i) Mark-up = $150 \div 600 \times 100 = 25\%$

(ii) $\text{Margin} = 150 \div 750 \times 100 = 20\%$

Q4. Distinguish between simple interest and compound interest. *(3 marks)*

Model answer: Simple interest is calculated only on the original principal for every period, so it grows by the same amount each period. Compound interest is calculated on the principal plus any interest already accumulated, so it grows by an increasing amount each period, producing a higher total return over time for the same rate and principal.

Q5. State three of the "7 Cs" of effective business communication and briefly explain one of them. *(3 marks)*

Model answer: Clear, Concise, Correct (any three of the seven are acceptable). Explanation of "Concise": the message should convey the necessary information using as few words as possible without omitting anything essential, respecting the reader's time and reducing the risk of the core point being lost in unnecessary detail.

Q6. Explain what a trial balance shows, and state one limitation of relying on it to prove the accounts are entirely correct. *(3 marks)*

Model answer: A trial balance lists every ledger account's closing debit or credit balance; if double entry has been applied correctly, the two column totals agree. Limitation: agreement only proves arithmetic accuracy of postings — it does not detect errors such as a transaction omitted entirely from the records, since both a debit and credit would simply be missing together, leaving the totals still equal.

Q7. Explain the "business entity" concept. *(2 marks)*

Model answer: The business entity concept requires that a business be accounted for separately from its owner(s) as individuals — only transactions relating to the business itself are recorded in its books, even though the owner may be personally liable for the business's debts (e.g. in a sole proprietorship).

Q8. Explain one advantage of mobile money (e.g. M-Pesa) for a small retail business in Kenya. *(2 marks)*

Model answer: Mobile money allows a small business to receive customer payments quickly and securely without handling large amounts of physical cash, reducing the risk of theft and making it easier to reconcile daily sales against the mobile money transaction record.

Q9. State two barriers to effective communication in a business setting. *(2 marks)*

Model answer: (i) Noise or distraction that prevents the message from being received clearly; (ii) ambiguous or overly technical language that the receiver does not understand as the sender intended. (Other valid answers: poor choice of channel, cultural differences, lack of feedback.)

Q10. KSh 80,000 is invested at 12% per annum simple interest for 2 years. Calculate the total amount at the end of the period. *(3 marks)*

Model answer:

$$I = P \times R \times T = 80,000 \times 0.12 \times 2 = 19,200$$

$$\text{Total amount} = 80,000 + 19,200 = \text{KSh } 99,200$$

10. Exam technique and revision checklist

- For accounting-equation questions, always confirm your final answer keeps Assets = Liabilities + Capital in balance — a quick check that catches most arithmetic slips.
- For mark-up vs margin questions, write out which base (cost or selling price) the percentage is calculated on before computing — this is the single most common source of error.
- For communication questions, always name the principle first (e.g. one of the 7 Cs), then explain it, then apply it to the scenario if one is given.
- Show all workings for numerical questions — method marks are awarded even where a final figure is wrong due to a small arithmetic slip.

Quick revision summary — one line per topic:

1. A business combines land, labour, capital, and enterprise to satisfy customer needs.
2. The accounting equation, $\text{Assets} = \text{Liabilities} + \text{Capital}$, underlies every financial statement.
3. Double entry records every transaction as an equal debit and credit; a trial balance checks arithmetic accuracy only.
4. The statement of profit or loss shows performance over a period; the statement of financial position shows position at a point in time.
5. Mark-up (on cost) and margin (on selling price) are different percentages for the same transaction.
6. Compound interest grows faster than simple interest because it is calculated on an increasing balance.
7. Effective communication follows the 7 Cs and matches the channel to the message.
8. Common communication barriers include noise, ambiguous language, poor channel choice, and lack of feedback.
9. IT systems need controls: password protection, backups, restricted access, and audit trails.
10. Mobile money has become a dominant, low-friction payment channel for Kenyan businesses.

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.

